FREE FINANCING GUIDE

Triple Net / Single Tenant Financing Guide

Why 2026 Is a Genuinely Bifurcated Net-Lease Market, What Current Pricing Looks Like Across Programs, and the Metrics That Drive Approvals

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Why Net-Lease Financing Rewards Tenant Credit More Than Ever in 2026

Triple net and single-tenant financing in 2026 is defined by a clear split: investment-grade tenants on long-term leases are trading and financing at historically tight spreads, while non-rated tenants and shorter-term leases face a materially thinner, pricier market. Borrowers and buyers who understand which side of that line their deal sits on — and who show up with clean lease and tenant-credit documentation — put themselves in a stronger position than those treating net-lease financing like a generic commercial mortgage.

- **Cap rates compressed to the tightest spreads since 2022 for premium tenants.** Average single-tenant net lease retail cap rates fell to 6.45% in Q1 2026 (down 34 basis points from 6.79% in Q3 2025), with premium QSR credits like McDonald's and Chick-fil-A trading as low as 4.0% to 5.2%.
- **The spread by tenant credit quality is wide and matters enormously.** Trophy/AA-A tier tenants trade at 4.40% to 5.50% cap rates, strong credit (A to BBB+) at 5.25% to 6.50%, investment-grade floor (BBB to BBB-) at 6.50% to 8.00%, while non-rated or franchisee-backed tenants with shorter leases run 7.50% to 9.50%+.
- **Financing pricing runs favorably for well-qualified net-lease deals.** As of August 2026, permanent net-lease loans price at roughly 6.36% (5-year fixed) to 6.66% (10-year fixed and CMBS/conduit), both capped at 75% LTV, with loan terms typically matching the remaining lease term.
- **Supply is tightening.** Net lease property inventory fell 9.8% quarter-over-quarter in Q1 2026, driven by elevated transaction volume and bonus depreciation incentives — a dynamic that favors sellers and existing owners of well-leased assets.
- **NNN properties carry a real, quantifiable tax-advantage premium.** They trade at yields 150 to 185 basis points higher than comparable corporate bonds, reflecting depreciation deductions and 1031 exchange deferral benefits unavailable to bondholders — and 1031 exchange capital flowing into the sector rose 22% year-over-year.

The practical takeaway: strong tenant credit and meaningful remaining lease term are worth more in this market than at almost any point since 2022. A looming $2.2 trillion CRE debt maturity wall before 2028 (roughly $950 billion due in 2027) is also expected to create forced-sale opportunities for well-capitalized net-lease buyers.

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2026 Market Outlook for Triple Net / Single Tenant Financing

Net-lease financing enters the second half of 2026 with real cap rate compression for premium tenants, tightening supply, and strong capital flows — alongside a persistently wide gap for weaker-credit, shorter-term deals. The following figures outline where the market stands:

- Current net-lease loan pricing and leverage (August 20, 2026): 5-year fixed bank/portfolio loans at 6.36% (75% LTV), 7-year at 6.49%, and 10-year at 6.66%; CMBS/conduit around 6.66% (75% LTV, best suited to credit-tenant, non-recourse structures); bridge financing around 9.00% (70% LTV) for short remaining lease periods or transitional situations; loan terms typically match the remaining lease term, with a $1.5 million typical minimum loan size.
  Source: SelectCommercial.com, NNN Lease Loans Rates, August 20, 2026
- NNN cap rates vary sharply by tenant credit quality: trophy/AA-A tier 4.40%–5.50%, strong credit (A to BBB+) 5.25%–6.50%, investment-grade floor (BBB to BBB-) 6.50%–8.00%, and non-rated/franchisee-backed or short-term tenants 7.50%–9.50%+.
  Source: InvestmentGrade.com, NNN Cap Rates 2026: Current Rates by Tenant
- Cap rates by property sector in Q1 2026: retail 6.55% (flat), industrial 7.15% (down 5 bps), office 7.90% (down 10 bps), for an overall average of 6.80%.
  Source: InvestmentGrade.com, Investment-Grade Net Lease Cap Rates Q1 2026
- Net lease property inventory fell 9.8% quarter-over-quarter in Q1 2026 (from 5,710 to 5,151 listings), driven by elevated transaction volume and bonus depreciation incentives; NNN properties trade at yields 150 to 185 basis points above comparable corporate bonds.
  Source: InvestmentGrade.com, 2026
- Average single-tenant net lease retail cap rates fell to 6.45% in Q1 2026 (down 34 basis points from 6.79% in Q3 2025) across 280+ closed deals — the tightest spreads since 2022 — with premium QSR credits (McDonald's, Chick-fil-A) at 4.0%–5.2%, convenience stores (7-Eleven, Wawa) at 4.8%–5.5%, auto parts (AutoZone, O'Reilly) at 5.3%–6.2%, dollar stores at 6.0%–7.2%, and pharmacy (CVS, Walgreens) at 6.0%–7.6%.
  Source: NNNTripleNet.com, Spring 2026: NNN Cap Rate Compression Has Begun
- Capital continues flowing into the sector: 1031 exchange capital rose 22% year-over-year, net lease REIT acquisition pipelines sit at 18-month highs (one major NNN REIT guided $800 million to $1 billion in 2026 acquisitions at a 7.4% weighted-average cap rate), and multiple NNN-focused private equity funds raised new capital in late 2025 and early 2026.
  Source: NNNTripleNet.com, 2026
- A significant CRE debt maturity wall looms: $2.2 trillion in commercial real estate debt matures before 2028, with approximately $950 billion due in 2027 — a dynamic expected to create forced-sale opportunities.
  Source: NNNTripleNet.com, 2026

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Critical Metrics for Triple Net / Single Tenant Financing

Lenders underwrite the tenant's credit and the lease structure as closely as the real estate itself. The following metrics most often determine whether a request moves forward:

1. **Tenant Credit Quality**

   Whether the tenant is investment-grade, national, regional, or a strong local operator, which anchors the entire underwriting analysis.

2. **Remaining Primary Lease Term**

   How much term remains on the lease, one of the most important drivers of leverage and pricing. Loan terms typically match remaining lease term

3. **Lease Structure**

   Whether the lease is true triple net, absolute net/bondable, or modified net, which determines how much operating risk sits with the tenant.

4. **Rent Level Relative to Market**

   Whether in-place rent is at, above, or below market — a factor in both valuation and renewal risk.

5. **Loan-to-Value and Debt Yield**

   Leverage based on the in-place net rent. ≤75% LTV typical (bank, CMBS); ≤70% LTV bridge

6. **Cap Rate by Tenant Credit Tier**

   Pricing in the market varies enormously by where the tenant falls on the credit spectrum.

   Trophy/AA-A 4.40%–5.50%; strong credit (A–BBB+) 5.25%–6.50%; investment-grade floor (BBB–BBB-) 6.50%–8.00%; non-rated/short-term 7.50%–9.50%+

7. **Rate by Program**

   Pricing and structure available depend heavily on which program finances the deal.

   Bank/portfolio 6.36%–6.66% (5–10yr fixed, ≤75% LTV); CMBS/conduit ~6.66% (≤75% LTV); bridge ~9.00% (≤70% LTV)

These metrics form the practical filter that separates net-lease financing requests that get funded from those that stall in underwriting.

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Practical Framework & Getting It Right the First Time

Pre-Submission Checklist

Before approaching lenders, confirm:

- [ ] Current lease (and any amendments) with clear rent, term, and expense responsibilities is organized
- [ ] Tenant credit information or public credit ratings are gathered where available
- [ ] Rent commencement and remaining term details are documented
- [ ] Property information and site details are prepared
- [ ] Trailing operating history is documented (often simple because of the net structure)
- [ ] Borrower/sponsor experience and financial statements are ready
- [ ] Existing debt schedule is prepared (for refinances)
- [ ] Entity documents and organizational structure are current
- [ ] Basic valuation and market context are gathered

Common Reasons Triple Net / Single Tenant Financing Requests Underperform or Get Declined

- Weak or unrated tenant credit without adequate compensating factors
- Short remaining lease term with unaddressed rollover risk
- Incomplete or unclear lease documentation
- Rent significantly above market without justification
- Property with limited alternative-use potential and a marginal tenant

Final Perspective

Net-lease financing in 2026 rewards tenant credit and lease term more than almost any other variable — the market has genuinely bifurcated between investment-grade, long-leased assets trading at historically tight spreads and weaker-credit, shorter-term deals facing a much higher cost of capital. Buyers and owners who understand which side of that line their property sits on, and who present a complete, well-documented lease and tenant-credit file, are positioned to capture the most competitive terms available in this market.

High-level knowledge of how these loans work is valuable. Turning that knowledge into a funded transaction still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Weak tenant credit documentation, unaddressed lease rollover risk, and incomplete lease files are among the most common reasons otherwise solid net-lease financing requests lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

Learn More About the K2 Lender-Ready System →

Seven-Day Ready or Refund Guarantee

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